voluntarily perform daily customer reserve computations.[420] The Commission estimates that these nine carrying broker-dealers will notify their DEA of their intent to continuing to perform daily customer reserve computations voluntarily pursuant to paragraph (e)(3)(v) of Rule 15c3-3. Additionally, the Commission estimates that an additional 6 carrying broker-dealers that have significant debit balances may voluntarily elect to perform daily customer reserve computations in order to deduct 2% of aggregate debit items instead of 3% in connection with the computation. Consequently, the Commission estimates that there are 15 respondents associated with this collection of information.

D. Total Annual Burden Estimate

1. Recordkeeping Requirements

Carrying broker-dealers subject to the requirement to perform daily customer and PAB reserve computations under the final amendments were previously required to perform such computations weekly. Under preexisting paragraph (e)(3)(v) of Rule 15c3-3, carrying broker-dealers subject to the requirement to perform customer and PAB reserve computations are also subject to the requirement to make and maintain a record of each such computation and to preserve it in accordance with Rule 17a-4.[421] Carrying broker-dealers are able to elect to

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420 Based on FOCUS data for the year ending December 31, 2023, the Commission estimates that 10 carrying broker-dealers perform daily customer reserve computations. Of these 10 carrying broker-dealers, the Commission estimates that 9 exceed the $500 Million Threshold. The one carrying broker-dealer that does not exceed the $500 Million Threshold also does not compute net capital pursuant to Rule 15c3-1(a)(ii)(A), and therefore would not be eligible to avail itself of the 2% debit reduction.

421 *See* paragraph (e)(v) of Rule 15c3-3 and 17 CFR 240.17a-4 ("Rule 17a-4"). Paragraph (e)(3)(v) of preexisting Rule 15c3-3 will be renumbered as paragraph (e)(3)(vi) of Rule 15c3-3 as part of the final amendments. Rule 17a-4 sets forth record preservation requirements for physical records as well as for records maintained in electronic format but does not specify the format in which a carrying broker-dealer must maintain required records, though certain requirements related to electronic recordkeeping systems are set forth in the rule. *See, e.g.,* paragraph (f)(2) of Rule 17a-4 (establishing minimum requirements for an electronic recordkeeping system). The costs for these electronic recordkeeping systems are contained in the PRA collection for Rule 17a-4.

maintain the required record of the customer and PAB reserve computation in a physical (i.e., paper format) or electronic format under the record preservation requirements of Rule 17a-4, but given the size and sophistication of carrying broker-dealers subject to the requirement to perform daily customer and PAB reserve computations, and the nature of the actual computations, based on staff experience with carrying broker-dealer operations, the Commission estimates that carrying broker-dealers subject to the requirement to perform daily customer and PAB reserve computations will likely have electronic systems, including electronic recordkeeping systems meeting the record preservation requirements of Rule 17a-4, in place and will use those systems to make and maintain, and preserve the record of the computations in electronic format. Because these electronic recordkeeping systems are part of the record preservation requirements of Rule 17a-4, the costs of those systems are accounted for in the collection of information for Rule 17a-4 because broker-dealers use these systems for their overall recordkeeping.

Because carrying broker-dealers already have in place processes, personnel, and the systems and technology necessary to meet the record preservation requirements of Rule 17a-4, including for the purpose of making and maintaining the record of the customer and PAB reserve computations, and preserving such records in compliance with Rule 17a-4, they will not need to hire additional staff or upgrade or develop new technology or systems, and have already expended the time, effort, and/or financial resources to generate and maintain the required records.[422] Therefore, the Commission estimates that the amendments will not impose any new

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[422] As discussed in the Economic Analysis in section IV.C. of this release, carrying broker-dealers may be required to incur increased initial start-up compliance costs to comply with the requirement to perform a daily customer and PAB reserve computation under the final amendments. A carrying broker-dealer may incur these initial start-up compliance costs while implementing operational changes, potentially increasing staff, and upgrading systems and internal controls and infrastructure in order to facilitate the increased

one-time burdens or start-up costs (e.g., hardware acquisition, cloud storage costs, systems/tech upgrades, tech services, etc.) on carrying broker-dealers to set up the process of creating the required record of such computations.

Instead, the amendments will impose increased ongoing burdens on the respondent carrying broker-dealers because they must increase the frequency of the customer and PAB reserve computations and, therefore, must make, maintain, and preserve additional records of the computations. Specifically, there will be an increase in the burdens associated with the collections of information titled "Rule 15c3-3(e)(3) – daily computations" for both the customer and PAB reserve computations, and a corresponding decrease in the burdens associated with the collections of information titled "Rule 15c3-3(e)(3) – weekly computations" for the customer and PAB reserve computations as certain carrying broker-dealers will shift from weekly to daily computations in connection with the amendments. Based on experience with customer and PAB reserve computations, the Commission estimates that it takes between one and five hours to make a record of each such computation, and that the average time spent across all carrying broker-dealers is 2.5 hours.[423]

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frequency of computations and accelerate the coordination of staff involved in providing the required information. These economic effects are not in the PRA and are discussed in the Economic Analysis in section IV.C. of this release.

423 This is consistent with the current collection of information for the customer and PAB reserve computations, available at https://www.reginfo.gov/public/do/DownloadDocument?objectID=132914201. The estimate is also based on the Commission's experience with other recordkeeping requirements. For example, the current estimated burden related to the requirement to maintain records pursuant to Rule 17a-3 (17 CFR 240.17a-3)("Rule 17a-3") is 1 hour per day, or 249 hours per year (based on 249 business days for that year) for each registered broker-dealer. This includes the requirement that a broker-dealer make a record of the broker-dealer's computations for aggregate indebtedness and net capital. *See* Supporting Statement for Rule 17a-3, available at https://www.reginfo.gov/public/do/DownloadDocument?objectID=123585601. *See also* paragraph (a)(11) of Rule 17a-3.

The Commission received one comment on this estimate stating that the Proposing Release does not state a basis for this 2.5 hour estimate and that the estimate is so wide of the mark that it cannot support the Commission's analysis of paperwork burdens (or costs, burdens, and effects on competition of the proposal). This commenter stated that each weekly calculation takes approximately 10 hours and that during these 10 hours more than 50 employees are involved in some part of the data collection, performing calculations, verifying figures, and transferring funds to banks that are part of performing the reserve computations.[424] In response, the specific tasks the commenter listed do not specify what amount of the 10 hours is dedicated to making, maintaining, and preserving a record of the computation, as required by Rule 15c3-3. Instead, the tasks the commenter listed relate to the steps necessary to perform a computation. The 2.5 hours is based on staff experience with customer and PAB reserve computations and recordkeeping requirements and staff's understanding that these records are made, maintained, and preserved either in an electronic format or as a paper copy. Some carrying broker-dealers may take more time, while others may take less time to make, maintain and preserve a record of the computations. As a result, the 2.5 hour burden estimate is the estimate of the time it takes a carrying broker-dealer to make a record of the computation for purposes of the PRA.[425] As noted

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424 *See* Raymond James Letter at 3, n.9. *See also* SIFMA Letter at 4. These commenters stated the 2.5-hour figure underestimates the actual burden associated with fulfilling current requirements. *Id.* These commenters also stated that carrying broker-dealers subject to the requirement to perform daily customer and PAB reserve computations will be required to hire and train additional employees, devote the full-time efforts of these personnel to performing the required daily computations, and to update or implement new systems and processes to comply with the daily computation requirements. *See* Raymond James Letter at 4. *See also* SIFMA Letter at 5. The costs associated with increases in personnel and changes or upgrades to systems and processes are not recordkeeping burdens for the purposes of this PRA analysis and are instead discussed as part of the Economic Analysis. *See supra* section IV.C. of this release.

425 This estimated burden involves the time it takes an employee such as a financial reporting manager to make, maintain, and preserve a record of the reserve computation and the supporting details of each credit and debit in the applicable reserve computation. The estimated range of 1 to 5 hours considers that smaller

above, carrying broker-dealers already have in place the personnel, systems, and technology in place to make, maintain, and preserve the required records and to comply with the record preservation requirements of Rule 17a-4. As a result, the Commission is retaining the estimate of 2.5 hours for purposes of the PRA.[426]

Consequently, the Commission estimates that the amendments will impose aggregate annual ongoing burdens on respondent carrying broker-dealers required to perform daily customer and PAB reserve computations of 25,000 hours and 21,875 hours, respectively, or a total of 46,875 hours.[427] When added to the currently approved burden hours of 9,375 hours and 6,875 hours for the customer and PAB reserve computations, respectively, the revised burden hour estimates are 34,375 hours for the daily customer reserve computation, and 28,750 hours for the daily PAB reserve computation.

In addition to this increase, the Commission estimates that there will be a corresponding decrease in the collections of information titled "Rule 15c3-3(e)(3) – weekly computations" for both the customer and PAB reserve computations. Specifically, the Commission estimates that the amendments will result in a revised burden hour estimate of 15,730 hours with respect to

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carrying broker-dealers may choose to print out paper copies of the computation and supporting details on a computer to comply with the recordkeeping requirement. Larger carrying broker-dealers may need additional time to make the record in their preexisting electronic recordkeeping system to maintain and preserve it in a format to meet the electronic preservation requirements of Rule 17a-4. Consequently, a 2.5 hour estimate is used. Therefore, the increase in the recordkeeping burden is accounted for in the 2.5 hour estimate and the increase in respondents for the daily reserve computations.

426 Costs of the amendments outside of the PRA are discussed in the Economic Analysis in section IV.C of this release.

427 This figure was calculated as follows: 40 respondent carrying broker-dealers that are required to perform daily customer reserve computations x 2.5 hours/day x 250 business days = 25,000 hours, plus 35 respondent carrying broker-dealers that are required to perform daily PAB reserve computations x 2.5 hours/day x 250 business days = 21,875 hours. Therefore, the total estimated burden is 25,000 hours + 21,875 hours = 46,875 hours. *See also supra* note 355 and the accompanying text (discussing the annual economic cost for one carrying broker-dealer associated with the recordkeeping requirements of the amendments to Rule 15c3-3).

weekly customer reserve computations[428] (a decrease of 5,200 hours[429]), and 5,460 hours with respect to the weekly PAB reserve computations[430] (a decrease of 4,550 hours[431]).

2. Notification Requirement to Revert to Weekly Computations

Based on its experience with other notification requirements, in the Proposing Release, the Commission estimated that it will take a carrying broker-dealer 30 minutes to prepare and send the notification regarding its election to perform weekly customer and PAB reserve computations to its DEA. The Commission did not receive comments on the estimate and is adopting it as proposed. This burden represents a new collection of information. The Commission estimates that relatively few carrying broker-dealers will send the notice either because their average total credits will be substantially greater than the $500 Million Threshold or because they will continue to perform daily computations, even if their average total credits fall below the $500 Million Threshold, given the liquidity benefits of performing a daily computation. Consequently, the Commission estimates that one carrying broker-dealer per year will send the notice for a burden of 0.5 hours per year.[432]

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428 This figure was calculated as follows: 161 respondents currently approved under the information collection related to weekly customer reserve computations titled "Rule 15c3-3(e)(3) – weekly computations" minus the 40 respondent carrying broker-dealers that are required under the adopted amendments to perform daily customer reserve computations = 121 respondents x 2.5 hours x 52 responses annually = 15,730 hours.

429 This figure was calculated as follows: 20,930 burden hours currently approved with respect to the collection of information related to weekly customer reserve computations minus the revised estimate of 15,730 hours resulting from fewer respondents performing weekly computations = 5,200hours.

430 This figure was calculated as follows: 77 respondents currently approved under the information collection related to weekly PAB reserve computations titled "Rule 15c3-3(e)(3) – weekly computations" minus the 35 respondent carrying broker-dealers that are required under the adopted amendments to perform daily PAB reserve computations = 34 respondents x 2.5 hours x 52 responses annually = 5,460 hours.

431 This figure was calculated as follows: 10,010 burden hours currently approved with respect to the collection of information related to weekly PAB reserve computations minus the revised estimate of 5,460 hours resulting from fewer respondents performing weekly computations = 4,550 hours.

432 One response per year x 0.5 hours per response = 0.5 hours.

3. Notification Requirement to Voluntarily Perform Daily Customer Reserve Computation with 2% Debit Reduction

Based on its experience with other notification requirements, the Commission estimates that it will take a carrying broker-dealer 30 minutes to prepare and send the notification regarding its election to voluntarily perform a daily customer reserve computation. This burden represents a new collection of information. The Commission estimates that there are 15 respondents: 9 in the first year; 3 in the second year; and 3 in the third year, or alternatively, 5 respondents per year on average. Consequently, the Commission estimates that this will result in an annualized burden of approximately 2.5 hours per year.[433]

4. Summary of the Burden Revisions[434]

As a result of the amendments, the Commission estimates that the burdens associated with the requirement to make, maintain, and preserve a record of the daily customer reserve computations will increase by 25,000 hours and the burdens associated with the requirement to make, maintain, and preserve a record of the daily PAB reserve computations will increase by 21,875 hours. This increase will be accompanied by a decrease in burdens associated with the recordkeeping requirement for weekly customer and PAB reserve computations of 5,200 hours and 4,550 hours,[435] respectively, as carrying broker-dealers with average total credits that exceed

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433 (Nine responses in year 1 x 0.5 hours per response) + (3 responses in year 2 x 0.5 hours per response) + (3 responses in year 3 x 0.5 hours per response) or 4.5 hours + 1.5 hours + 1.5 hour = 7.5 hours. Over three years the annualized burden would be 7 hours / 3 years = 2.5 hours per year. Alternatively, (5 respondents per year x 0.5 hours per response) = 2.5 hours per year.

434 OMB Control No. 3235-0078 for Rule 15c3-3 includes thirty separate information collections. This summary shows only those information collections that are being revised as a result of the amendments.

435 *See supra* notes 354-356 and the accompanying text (discussing the economic costs associated with the recordkeeping requirements of the amendments to Rule 15c3-3). The net increase in estimated annual burdens associated with the requirement to make, maintain, and preserve a record of the daily customer and

the $500 Million Threshold shift from performing the customer and PAB reserve computations weekly to daily.

Additionally, a new collection of information related to the notification requirement for carrying broker-dealers reverting to weekly customer and PAB reserve computations will result in an additional 0.5 burden hours per year.

Lastly, a new collection of information related to the notification requirement for carrying broker-dealers electing to voluntarily perform daily customer reserve computations and to reduce aggregate debit items by 2% instead of 3% will result in an additional 2.5 burden hours per year.

The net increase in estimated annual burdens associated with the amendments to Rule 15c3-3, as adopted, is estimated to be 37,128 hours. The table below summarizes these changes.

Name of Information Collection	**Currently Approved Estimated Annual Industry Burden**	**Estimated Increase/Decrease in Annual Industry Burden**	**Revised Annual Industry Burden**
Rule 15c3-3(e)(3) – daily computations for customer reserve account[1]	9,375 hours	25,000 hours	34,375 hours
Rule 15c3-3(e) – daily computations for PAB reserve account	6,875 hours	21,875 hours	28,750 hours

reserve computations is estimated to be hours (25,000 hours + 21,875 hours) – (5,200 hours + 4,550 hours) = 37,125 hours. The 37,125 net increase, plus the increase in 3 hours (0.5 hours and 2.5 hours) for the new notification requirement totals a net increase in estimated annual burden hours of 37,128 hours.

Rule 15c3-3(e)(3) – weekly computations for customer reserve account[2]	20,930 hours	(5,200 hours)	15,730 hours
Rule 15c3-3(3)(3) – weekly computations for PAB reserve account	10,010 hours	(4,550 hours)	5,460 hours
Rule 15c3-3(e)(i)(B)(*2*) notification	N/A	0.5 hours	0.5 hours
Rule 15c3-3(e)	N/A	2.5 hours	2.5 hours
TOTAL CHANGE:		37,128 hours	

1. In the most recently approved supporting statement for Rule 15c3-3, the titles of the collections of information related to daily customer and PAB reserve computations are both listed as "Rule 15c3-3(e)(3) – daily computations." The Commission is revising the titles of these collections of information as set forth in this table in order to clarify that they are distinct collections of information.
2. In the most recently approved supporting statement for Rule 15c3-3, the titles of the collections of information related to weekly customer and PAB reserve computations are both listed as "Rule 15c3-3(e)(3) – weekly computations." The Commission is revising the titles of these collections of information as set forth in this table in order to clarify that they are distinct collections of information.

E. Collections of Information are Mandatory

The collections of information under the amendments to Rule 15c3-3 are mandatory as to the carrying broker-dealers that are subject to them.

F. Confidentiality of Response to Collections of Information

The Commission expects to receive confidential information in connection with the collections of information. A carrying broker-dealer requested by the Commission to produce records related to the amendments under Rule 15c3-3 could request confidential treatment of the information.[436] If a confidential treatment request were made, the Commission anticipates that it would keep the information confidential subject to applicable law.[437]

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436 *See* 17 CFR 200.83. Information regarding requests for confidential treatment of information submitted to the Commission is available on the Commission's website at https://www.sec.gov/foia/howfo2.htm#privacy.

437 *See*, *e.g.*, 15 U.S.C. 78x (governing the public availability of information obtained by the Commission); 5 U.S.C. 552 *et seq*.

G. Retention Period for Recordkeeping Requirements

The record of the customer and PAB reserve computations must be preserved in accordance with the requirements of Rule 17a-4.[438] Written notifications from carrying broker-dealers electing to compute the customer and PAB reserve computations weekly after being subject to the daily requirement, and notifications from carrying broker-dealers that elect to perform a daily customer reserve computation and use the 2% debit reduction will be submitted to the carrying broker-dealer's DEA. These notices constitute communications relating to a carrying broker-dealer's "business as such" and, therefore, will need to be retained for three years.[439]

VI. REGULATORY FLEXIBILIY ACT CERTIFICATION

The Regulatory Flexibility Act ("RFA") requires the Commission, in promulgating rules, to consider the impact of those rules on small entities.[440] Section 603(a) of the Administrative Procedure Act,[441] as amended by the RFA, generally requires the Commission to undertake a regulatory flexibility analysis of all proposed rules to determine the impact of such rulemaking on "small entities."[442] Section 605(b) of the RFA states that this requirement shall not apply to any proposed rule which, if adopted, would not have a significant economic impact on a substantial number of small entities.[443] In the Proposing Release, the Commission certified that

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438 *See* paragraph (e)(3)(v) of Rule 15c3-3; Rule 17a-4.

439 *See* paragraph (b)(4) of Rule 17a-4.

440 *See* 5 U.S.C. 601 *et seq.*

441 5 U.S.C. 603(a).

442 Section 601(b) of the RFA permits agencies to formulate their own definitions of "small entities." *See* 5 U.S.C. 601(b). The Commission has adopted definitions for the term "small entity" for the purposes of rulemaking in accordance with the RFA. These definitions, as relevant to this rulemaking, are set forth in 17 CFR 240.0-10 ("Rule 0-10").

443 *See* 5 U.S.C. 605(b).